Broker Responsibility Guide

How to Meet TREC Requirements

TRUST ACCOUNTS

TEXAS REALTORS®

Trust Accounts

Why does this need to be in my manual?

Trust Accounts: TREC ("Texas Real Estate Commission") Rule 535.2(i)(7) requires brokers to maintain written policies and procedures that detail the handling of all trust accounts. This includes property management trust accounts and other funds received from consumers.

What do I need to know?

TREC Rule 535.146(a)(2) defines a trust account as an account managed by one party for the benefit of another in a banking institution authorized to do business in Texas. TREC Rule 535.146(a)(1) defines trust money as client's money, earnest money, rent, unearned fees, security deposits, or any money held on behalf of another person.

Account responsibility and authorized signor(s): TREC Rule 535.2(c) states that a broker is responsible for the proper handling of trust money placed with the broker, and must comply with TREC Rule 535.146. A broker may only authorize another license holder to withdraw or transfer money from any trust account, but the broker remains responsible and accountable for all trust money received by that broker and all deposits to or disbursements from the trust account.

A sales agent may not maintain a trust account. Any money received by a real estate sales agent must be immediately delivered to the sales agent's sponsoring broker.

Commingling: The law prohibits commingling money a license holder holds for another with a license holder's own funds. TREC may suspend or revoke a license or take other disciplinary action authorized under the Real Estate License Act [§1101.652(b)(10)] against a license holder who commingles funds.

Any time a broker holds money that belongs to another, the broker must keep that money in a trust account or risk a charge of commingling.

Brokers are strictly prohibited from commingling money that belongs to the broker with money the broker is holding that belongs to someone else. Paying operating expenses or making withdrawals from a broker's trust account for any purpose other than a proper disbursement of money held in trust is evidence of commingling money held in trust with the broker's own money.

Names, numbers, and banks: A broker may maintain several accounts in the same bank or in different banks; however, all trust accounts must be identified as such.

Bank Fees: A broker may deposit and maintain a reasonable amount of money in the trust

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account to cover bank service fees, including fees charged for insufficient funds. Detailed records must be kept for any funds deposited.

Interest on trust accounts: In the absence of an agreement to the contrary signed by the client(s), any interest earned on the trust money must be distributed to any parties to whom the money is disbursed.

Deposits received by broker and placed in a trust account: Unless a different time to deposit money is expressly agreed upon in writing by the principals to the transaction, any trust money received by the broker must be deposited in a trust account or delivered to an authorized escrow agent by the close of business of the second working day after the date the broker receives the trust money. If all principals agree, a deposit may be delayed in accordance with their agreement. [TREC Rule 535.146(b)(3)].

Property Management Accounts: All money received by the broker in connection with the management of property (rents, security deposits, pet deposits, advance funds for repairs, etc.) shall be placed in a trust account. Money that belongs to others shall not be placed in the broker's operating account. Any money that becomes property of a broker must be removed from the trust account not later than the 30th day after the date the broker acquires ownership of the money. [TREC Rule 535.146(c)(5)].

For more information on Property Management trust accounts please go to the Leasing and Property Management page on the Texas REALTORS® website at https://www.texasrealestate.com/members/specialties/property-management/.

Operating Expenses: A broker should be sure his or her operating expenses are kept completely separate from any funds a broker is holding in trust for an owner.

- Payroll, office expenses, commissions, etc. all belong in an operating account.
- Security deposits, owner cash (e.g., for property repairs), after-expenses rent payments, etc. all belong in a trust account.

Adequate controls for maintaining trust accounts: The broker is responsible for all money held in the trust account.

- A broker should perform a periodic audit on a routine basis to verify that the accounting procedures are being followed, including reconciling the funds.
- Property management accounts have proven to be very vulnerable and subject to abuse by both licensed and unlicensed individuals, since the accounts and receivables are in constant flux.
- A broker should be sure his or her property management agreement and other paperwork are kept in strict order.

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Accounting requirements: A broker should always be prepared to provide an accurate accounting of any money the broker holds in trust. A broker must provide an accounting to each beneficiary of trust money at least monthly if there has been any activity in the trust account.

- Anytime the person for whom a broker is holding money asks for the money, the broker must provide an accounting (or remit the money if required) to the person not later than the 30th day after the date the demand is made.
- A broker should be sure any accounting software used in the broker's office is able to segregate various property accounts, security deposits, and owner funds.
- A broker should always be able to demonstrate what money the broker holds in trust and to whom it belongs (may be requested by TREC, an owner, or a tenant).

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